



Why Ecosystems are Key to Manufacturing Competitiveness

India opened its economy but failed to build industrial depth

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WHEN INDIA LIBERALISED its economy in 1991, the goal was to modernise industry by opening markets, cutting tariffs and attracting foreign investment. At that time, India's imports were only \$19.5 billion, exports were \$17.9 billion and the trade deficit was just \$1.6 billion. Three decades later, imports have crossed \$755 billion and the trade deficit has widened to over \$310 billion.

The bigger concern is what India imports today. More than half of imports are now industrial and manufactured products such as electronics, machinery, chemicals, metals and engineering goods. Electronics imports alone reached \$116 billion in FY2026, while machinery and computer imports were another \$71 billion. Industrial imports have grown by 217% over the last 15 years.

Since 1991, India has announced many manufacturing policies and schemes. These included the New Industrial Policy (1991), expansion of Export Processing Zones and later the SEZ Policy and SEZ Act (2000 and 2005), Auto Policy (2002), MSME

manufacturing support schemes (2005), National Manufacturing Policy (2011), Delhi-Mumbai Industrial Corridor, National Investment and Manufacturing Zones, electronics incentive schemes such as M-SIPS and Electronic Manufacturing Clusters (2012), Make in India (2014), phased manufacturing programmes for mobiles and electronics (from 2016), National Policy on Electronics (2019), semiconductor incentive schemes (2021), defence manufacturing programmes, and finally the Production Linked Incentive (PLI) schemes from 2020 onwards.

How did a country that implemented so many manufacturing policies and action plans end up becoming increasingly dependent on imports of so many products?

The answer lies partly in how India interpreted liberalisation after 1991.

India rightly removed many inef-

ficient parts of the old Licence Raj after 1991. Industrial licensing was reduced, tariffs were lowered and many sectors were opened to private and foreign investment. But over time, policymakers began believing that simply opening the economy would automatically create globally competitive manufacturing. The government gradually stepped back from actively promoting building of industrial ecosystems and expected markets to deliver them on their own. This was part of the "Washington Consensus" approach that many economists supported, though it rarely worked in practice. Countries such as China, Japan and South Korea followed a different path.

China opened its economy selectively while aggressively building manufacturing capacity, industrial supply chains and export competitiveness. India liberalised consumption faster than building production capacity. Imports became easier, but manufacturing competitiveness did not improve at the same pace.

As a result, India increasingly became a large consumer of imported industrial goods instead of a major producer of them.

Several policy distortions worsened this outcome.

First, India's industrial policy became heavily skewed towards a few large upstream sectors such as steel, aluminium, petrochemicals and basic chemicals.

In India, import duties on raw materials and components became higher than duties on finished products. This made domestic manufacturing commercially irrational